



ILLUSTRATION BY **RAHUL SHARMA/AI**

footfall, premature mortality, lower asset productivity, increased health expenses, and welfare losses. Out of these, employee productivity, consumer footfall and premature mortality impact businesses directly,” explained the report, titled *Air Pollution and its Impact on Business*.

The study pointed out sectoral losses as well. While the IT sector loses an estimated \$1.3 billion, decreased consumer footfalls cost the economy \$22 billion in 2019. Reduced tourist footfalls cost the tourism sector \$1.7 billion every year, it said.

This is also corroborated by recent corporate reporting and commentary where several companies have said air pollution impacts their performance with pollution-led curbs and preference by consumers to stay indoors. For instance, leading

department store chain Shoppers Stop, in its third quarter earnings release for FY26, attributed elevated air pollution in Northern India as one of the reasons for flat sales. “Sales remained flat due to inconsistent demand and pollution in Northern India, underscoring the vulnerability of consumption to environmental disruptions,” it had said.

Seema Arora, Deputy Director General and CEO, Centre of Excellence for Sustainable Development at CII, says understanding of air quality management and its direct and indirect impact on businesses is still evolving. “For companies, the biggest trigger point is when industrial activities are banned during times of high air pollution,” she says.

Air quality management has become a crucial factor when it comes to investment decisions, or

HAZY OUTLOOK

Most Indian cities are plagued by persistent air pollution above global averages

Lockdowns, work from home due to high smog levels impact productivity and sales of firms

Sectors, including tourism, service industries like IT, hit by pollution, difficulty in getting workers

Air pollution costs Indian businesses \$95 billion or 3% of India's GDP every year

Government measures not sufficient, experts call for more concerted action

Rapid improvements can be achieved when governments commit to ambitious targets and back them with action

